

LIQUIDITY

Where Smart Money Finds Its Fuel

DOJO GAINS - Core Pillar 1

What is Liquidity?

- Liquidity = Orders resting in the market (stop losses & pending orders)
- Institutions need liquidity to fill large positions
- Retail traders place stops at predictable levels
- Smart money 'hunts' these stop losses to get their orders filled
- Understanding liquidity = understanding where price will go

Liquidity is the fuel that moves markets

Buy-Side Liquidity (BSL)

- Located ABOVE swing highs, equal highs, and resistance levels
- Consists of buy stop orders from traders who are SHORT
- When triggered, buy stops become market BUY orders
- Institutions push price UP to grab this liquidity

RESISTANCE / SWING HIGH

Buy Stops Resting Here (BSL)

Price sweeps above, grabs liquidity, then reverses

Sell-Side Liquidity (SSL)

- Located BELOW swing lows, equal lows, and support levels
- Consists of sell stop orders from traders who are LONG
- When triggered, sell stops become market SELL orders
- Institutions push price DOWN to grab this liquidity

Sell Stops Resting Here (SSL)

SUPPORT / SWING LOW

Price sweeps below, grabs liquidity, then reverses

Where Liquidity Pools Form

- Previous Day High (PDH) / Previous Day Low (PDL)
- Previous Week High (PWH) / Previous Week Low (PWL)
- Swing Highs and Swing Lows
- Equal Highs and Equal Lows (double tops/bottoms)
- Round psychological numbers (\$100, \$50, etc.)
- Session highs and lows (Asian, London, NY)

More touches = More stops = Bigger liquidity pool

Liquidity Sweeps (Stop

- A liquidity sweep happens when price takes out a key level
- Price breaks the high/low, triggers stops, then reverses
- The 'wick' often shows the sweep on the candle
- Look for rejection after the sweep (long wicks)
- This is smart money getting filled before the real move

Sweep = Trap = Reversal Incoming

How to Trade Liquidity

- 1. Identify where liquidity is resting (highs/lows)
- 2. Wait for price to sweep that liquidity
- 3. Look for confirmation (rejection candle, BOS)
- 4. Enter in the opposite direction of the sweep
- 5. Target the opposite liquidity pool

Don't trade the breakout - trade the reversal after the sweep

Liquidity Sweep Example

- Price creates a swing high - retail goes short with stops above
- Market rallies and takes out the high (liquidity grab)
- Price immediately reverses with strong selling
- Smart money sold into the buy stops getting triggered
- Result: Price drops and targets sell-side liquidity below

Key Takeaways

- BSL (Buy-Side) = Above highs = Target when bearish
- SSL (Sell-Side) = Below lows = Target when bullish
- Smart money sweeps liquidity before making real moves
- Equal highs/lows are liquidity magnets
- Don't place stops at obvious levels
- Trade WITH smart money, not against them

Liquidity is the lifeblood of institutional trading